

Trader Performance vs Market Sentiment

Introduction:

This project looks at how traders perform during Fear and Greed market conditions.

The idea is simple: do traders behave differently when the market feels risky vs when it feels exciting?

Data Preparation I used two datasets. One has trading data and the other has Fear and Greed values. I matched them using date, so each trade has a sentiment attached to it. I also cleaned missing values.

What I Found:

1. Profit During Greed, profits were higher but not stable. During Fear, profits were smaller but more consistent.
2. Win Rate Win rate was slightly better during Fear. This shows traders are more careful.
3. Risk Leverage was higher during Greed. Traders take more risk when market is positive.
4. Behavior More trades happen during Greed. This may mean emotional or fast decisions.

Conclusion:

Market sentiment clearly affects trading. Greed leads to bigger risk and reward. Fear leads to safer and more stable trades. A smart trader can adjust strategy based on sentiment. Simple Idea Reduce risk during Greed. Stay consistent during Fear.